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HERO: Hard Working Texas Families Deserve Access to Safe, Transparent and Regulated Financial Choices—Not Fewer Options.

Texas families need responsible credit and transparent, regulated choices. Smart policies should protect consumers from harmful practices without eliminating lawful options or pushing them toward riskier alternatives.

Section 1: The Texas Reality: Unexpected Expenses Can’t Wait, and Not Every Family Has the Same Financial Choices.

Working Texas families are being squeezed from every direction—housing, insurance, health care, groceries, child care, transportation and utilities. After paying for the essentials, many have little left to save. When an unavoidable expense occurs, families need access to safe, transparent and regulated financial options that can help them manage the emergency on their own terms.

Graphic 1	Graphic 2
4 in 10 Texas households struggle to cover basic expenses ¹	More than one-third of American Workers say they are living paycheck to paycheck ²

[Learn more about the economic reality for many Texans](#)

Traditional credit is unavailable or insufficient for many families

An emergency does not wait for a family’s credit score to improve—and a low score does not eliminate the family’s need to repair a car, pay a utility bill or obtain medical care. Nearly 2.1 million Texas households don’t have access to traditional credit products.

Graphic 1	Graphic 2
1/3rd of Americans who applied for traditional credit in 2025 were either denied or approve	18.5% of Texas Households are Underbanked ⁴ meaning they don’t have

¹ United For ALICE, *The State of ALICE in Texas: 2026 Report*, based on 2024 data. Of Texas’s 11,388,247 households, 40%—approximately 4.6 million—lived below the ALICE Threshold and lacked sufficient income to afford basic household expenses. [UnitedForALICE.org](#).

² Bankrate, “More Than a Third of Workers Say They’re Living Paycheck to Paycheck,” July 15, 2024. Survey conducted by YouGov among 2,407 U.S. adults, including 1,248 full- and part-time workers. [Bankrate.com](#).

⁴ Texas Fair Lending Alliance. “The State of Lending in Texas: Summary of Financial Exclusion.” Accessed February 2026. <https://texasfairlending.org>

for less than they requested. ³	access to traditional credit products.
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Section 2: Protecting Texans Means Preserving Safe, Regulated Credit Options

Texas short-term lending is not an unregulated marketplace. Licensed Credit Access Businesses (CABS) answer to the Texas Office of Consumer Credit Commissioner, while the Consumer Financial Protection Bureau provides an additional federal layer of supervision. State and federal laws govern disclosures, electronic payments, fair lending, reporting, examinations and prohibited business practices. Consumers have access to both state and federal regulators when they have a question or complaint.

- **Every credit access business must be licensed** - Credit Access Businesses (CABs) must obtain and maintain a state license and operate under the continuing supervision of the OCCC. ([learn more](#))
- **Consumers receive a standardized cost disclosure** - Texas consumers are shown what the transaction costs before they agree to it, including the fees, interest, APR and total repayment obligation. ([learn more](#))
- **Fees must be disclosed before they are charged** - Transparency is not optional under Texas law. A licensed provider cannot charge a fee that has not been disclosed.
- **Consumers have a cancellation right** - Texas law gives consumers a three-day right to cancel the credit-services contract without a cancellation penalty.
- **Providers are subject to regulatory examinations** - State oversight is more than paperwork. The OCCC can examine the underlying transaction files and determine whether required disclosures and consumer protections were followed.
- **Market activity is reported and published** - Texas requires licensed providers to report their activity throughout the year. That information is aggregated and published, giving regulators, lawmakers and the public visibility into the market.
- **The Texas Office of Consumer Credit Commissioner (OCCC)** - These requirements have consequences. The OCCC can penalize violations, order corrective action and prevent a company from continuing to operate.

[Learn more about regulatory oversight](#)

³ Board of Governors of the Federal Reserve System, *Economic Well-Being of U.S. Households in 2025*, May 2026. Among adults who applied for credit in 2025, 33% were denied credit or approved for less than they requested. [FederalReserve.gov](https://www.federalreserve.gov).

Section 3: Financial Emergencies Do Not Disappear: The Consequences of Restricting Access

When a car breaks down, a utility bill is due or rent is late, families need workable options. Eliminating regulated short-term credit does not eliminate that need. It can leave hardworking Texans facing costly fees, delayed bills, unlicensed lenders—or no available option at all.

The Alternatives Can Cost More

Overdraft charges, utility reconnection fees, rent penalties and credit-card late fees can carry annualized costs reaching hundreds or even thousands of percent—and impose new costs without providing the money needed to solve the original emergency.

[Compare the Costs →]

Rate Caps Can Put Credit Out of Reach

Interest-rate caps may reduce costs for those who still qualify, but they can also make small-dollar loans economically unworkable. Research shows that restrictive caps can result in fewer loans, tighter approval standards and reduced access for consumers with imperfect credit.

[See What the Research Shows →]

Where Will Texans Turn?

Bank loans, fintech products, employer advances and earned-wage access can provide valuable alternatives—but none serves every consumer or every emergency. Before eliminating a regulated option, policymakers must determine whether a viable replacement is available at the speed and scale Texans need.

The Economic Reality For Working Texans

HERO: The Economic Reality For Working Texans

Texas is economically strong, but too many working families remain financially fragile. Rising costs leave little room to save, and many lack access to traditional credit when emergencies strike. Texas policymakers should protect regulated, transparent financial options instead of leaving families with fewer, less accountable choices.

Work no longer guarantees financial stability

Millions of Texans are working, paying taxes and supporting their families—but still living without a financial safety net.

USE A GRAPHIC

In 2024, approximately 4.5 million Texas households—40% of all households in the state—earned less than what was needed to cover basic expenses. This includes families above the federal poverty line who are working but still cannot consistently afford housing, food, transportation, child care, health care, technology and taxes. [United for ALICE](#)

A modest emergency can become a family crisis

National Federal Reserve data provide a powerful indicator of the financial pressures likely affecting Texas families:

- **37% of adults could not cover a \$400 emergency entirely with cash or its equivalent in 2024.**
- **Only 55% of adults had enough emergency savings to cover three months of expenses.**
- Parents were particularly vulnerable: only **55% of parents living with children under 18** could cover a \$400 emergency with cash or its equivalent in 2025. [Federal Reserve SHED data](#)

Texas Families Face Growing Financial Pressure

Housing has become less affordable:	Texas home prices rose approximately 40% between 2019 and 2023 . In some smaller metropolitan areas, increases were substantially higher. Higher prices, mortgage rates, property taxes and maintenance costs all make it harder for families to purchase—and remain in—a home. Texas Comptroller
Homeowners insurance is consuming more of the family budget:	For homeowners, the financial emergency is not always the storm—it may be the deductible and repair bills that come afterward. The average Texas homeowners insurance premium increased 33% between 2015 and 2022 , including increases of 6.9% in 2021 and 11.8% in 2022. Rising deductibles also mean that families may need thousands of dollars immediately after a storm or household loss. Texas Comptroller housing report
Texas families face unusually high health-care exposure	A medical emergency should not become a financial emergency, but in Texas it does. According to the US Census Bureau, Texas had the highest uninsured rate in 2024.

Even insured families are struggling with medical costs	Having insurance does not necessarily mean a family can afford to use it. A 2026 Texas survey found that 63% of Texans had delayed or skipped care because of cost. Texas 2036
Transportation is an unavoidable expense	In much of Texas, a broken car is not an inconvenience—it can mean a lost paycheck, lost job, missed medical appointment, or missed school. Texas's size and development patterns make a dependable vehicle essential for many households.
Food insecurity remains elevated	When groceries consume more of every paycheck, families have less money to save—and less protection when something goes wrong.
Child care can rival housing costs	For working parents, child care is not discretionary; it is what allows them to remain employed. Infant care, after-school care and summer care can consume a large portion of take-home pay, while many Texas communities also lack enough affordable child-care capacity.

Preserve Financial Choice

HERO: Protecting Texans Means Preserving Safe, Regulated Credit Options

Texas short-term lending is not an unregulated marketplace. Licensed Credit Access Businesses (CABS) answer to the Texas Office of Consumer Credit Commissioner, while the Consumer Financial Protection Bureau provides an additional federal layer of supervision. State and federal laws govern disclosures, electronic payments, fair lending, reporting, examinations and prohibited business practices. Consumers have access to both state and federal regulators when they have a question or complaint.

Drop down boxes

Every CAB must be licensed	Consumers receive a standardized cost disclosure	Fees must be disclosed before they are charged
Credit access businesses are classified as a licensed industry—not merely a registered one. The OCCC explains that licensed industries are subject to “routine and periodic examination of records, processes, and compliance with statute and regulatory controls.” Each location operates under a state licensing structure, and a business must receive approval before conducting CAB activity. Texas OCCC regulated-industries overview	Texas requires product-specific disclosures for single-payment payday loans, installment payday loans, single-payment title loans and installment title loans. The forms include: • The amount provided to the consumer • CAB fees and lender interest • The total amount due • The applicable APR • Potential renewal or refinancing costs • A comparison with other forms of credit • Typical repayment information • Questions consumers should consider before borrowing • OCCC contact and complaint information The OCCC periodically updates the comparison and repayment information contained in these disclosures. OCCC single-payment payday disclosure, Texas consumer-disclosure rule	Texas Finance Code §393.602 provides that a CAB fee “may not be charged unless it is disclosed.” State rules also require the in-store fee schedule and notices to be displayed conspicuously and retained for OCCC inspection. Texas Finance Code §393.602, 7 TAC §83.5004
Consumers have a cancellation right	Providers are subject to regulatory examinations	Market activity is reported and published
The written contract must notify the consumer that the credit-services contract may be cancelled without penalty or obligation within three days after it is signed. Texas Finance Code	The OCCC can examine transaction files, contracts, disclosures, applications, lender agreements, privacy notices and other records. The regulator’s examination rules also allow it to obtain witness and records declarations when reviewing compliance. Texas CAB	Every licensee must submit four quarterly reports and an annual report. The OCCC publishes aggregated statewide and metropolitan-area data, including transaction volume, fees, refinancing activity and repayment outcomes. Its most recent complete

§393.202 This needs to be phrased carefully because the cancellation right applies to the credit-services contract and should not be presented as an unrestricted right to keep loan proceeds without repayment.	examination rule	annual CAB report covers calendar year 2025 and was published March 24, 2026. OCCC financial-services activity reports, 7 TAC §83.5001
The OCCC has real enforcement authority		
The OCCC publicly reports enforcement actions involving administrative penalties, injunctions, restitution, license suspension and license revocation. Its current enforcement database includes CAB actions resolved as recently as July 2026. OCCC enforcement-action database		

Federal Oversight Through The Consumer Financial Protection Bureau

At the federal level, the Consumer Financial Protection Bureau (CFPB) has authority to supervise payday lenders of all sizes for compliance with federal consumer-financial laws. The CFPB's role is to supervise covered companies, examine their practices, investigate consumer complaints, enforce federal law and adopt regulations governing consumer-financial products. This includes:

- Reviewing advertising, disclosures, loan servicing and payment-collection practices.
- Examining whether consumers receive accurate information about costs and repayment obligations.
- Enforcing federal prohibitions against unfair, deceptive or abusive acts or practices.
- Monitoring compliance with federal fair-lending, electronic-payment and credit-disclosure laws.
- Investigating consumer complaints and potential patterns of consumer harm.
- Seeking restitution, civil penalties, injunctions and other remedies when violations occur.

The Consequences of Restricting Credit Access

HERO: Restricting Credit Access and Imposing Interest Rate Caps Hurts Hard Working Texans

Eliminating access to short-term credit does not eliminate the financial emergency. It simply changes how—and whether—a family can respond. Some may find another source of money, but others may face overdraft fees, delayed bills, utility shutoffs, unregulated online lenders or no workable option at all.

Annual Percentage Rate of Short-Term Lending Alternatives:

DROP DOWN BOX

Bank Overdrafts APR 17,236%	Utility late and shutoff costs - Up to 913%	Texas rent late fees - Up to 626%															
The CFPB found a median overdraft fee of \$34. Its published example involved a consumer overdrawing an account by \$24 and repaying it three days later: $\\$34 \div \\$24 \times 365 \div 3 = 17,236\%$ The CFPB describes that as approximately 17,000% APR. This is the strongest independently sourced comparison available. Some banks have reduced or eliminated overdraft fees, however, so it should not be presented as applying to every account. CFPB overdraft analysis	Texas utility charges vary by provider and approved tariff. A representative electric plan may impose: • A 5% late-payment penalty • A \$25 disconnection fee • A \$25–\$50 reconnection fee • A returned-payment fee • Payment of the delinquent balance before service is restored For a \$200 utility bill: • A 5% penalty equals \$10. • If paid 10 days late, that is approximately 183% APR-equivalent. • A \$25 reconnection charge resolved over 10 days equals approximately 456%. • A \$50 charge equals approximately 913%. These calculations do not capture the practical cost of losing electricity, possible food spoilage, alternative lodging, missed work, or a new deposit requirement. Texas permits reconnection charges when they are included in the utility's approved tariff. Texas utility reconnect-fee rule	Under Texas law, a late fee is generally presumed reasonable when it does not exceed: • 12% of monthly rent for a property with four or fewer units • 10% of monthly rent for a property with more than four units A landlord may potentially justify a higher charge based on actual damages and costs. The fee generally cannot be charged until rent has remained unpaid for more than two full days. Texas State Law Library For \$1,500 monthly rent: <table><tr><th>Late fee</th><th>Dollar cost</th><th>Paid 7 days late</th><th>Paid 14 days late</th><th>Paid 30 days late</th></tr><tr><td>10 %</td><td>\$150</td><td>521%</td><td>261%</td><td>122%</td></tr><tr><td>12 %</td><td>\$180</td><td>626%</td><td>313%</td><td>146%</td></tr></table> Again, these are annualized cost comparisons—not legally defined rent-loan APRs. They also exclude eviction filing costs, legal expenses, moving costs, or damage to the tenant's rental history.	Late fee	Dollar cost	Paid 7 days late	Paid 14 days late	Paid 30 days late	10 %	\$150	521%	261%	122%	12 %	\$180	626%	313%	146%
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Credit Cards w/ Late Payment Fees - Up to 4,171%	Unlicensed, Illegal, and Overseas Lenders over 1,000%	Cartel and Criminal lending activity
The Federal Reserve's latest published figures show average credit-card rates of approximately: • 21% APR across credit-card accounts • Approximately 22%–22.3% APR among accounts actually assessed interest Federal Reserve G.19 consumer-credit release A consumer with a \$500 balance at 22.3% APR would incur approximately: • \$9.29 in interest for one month • \$111.50 over one year, assuming the balance remained constant But a late payment can also produce a penalty fee, continued interest, loss of a grace period, and—in circumstances permitted by the agreement and federal rules—a higher penalty APR. A \$32 fee resulting from a missed \$40 minimum payment, resolved seven days later, represents an annualized cost equivalent of approximately 4,171% relative to the immediate payment shortage.	Federal enforcement cases involving illegal internet lending operations have documented interest rates exceeding 700%—and, in one major case, reaching more than 1,000%. Regulators also uncovered hidden loan costs, unauthorized withdrawals and corporate structures designed to evade state consumer-protection laws.	When lawful credit disappears, the financial emergency remains. Some consumers may encounter unlicensed lenders or criminal lending networks that offer immediate cash without meaningful disclosures or consumer protections. International investigations have documented illegal lending schemes carrying annualized costs in the hundreds of percent, accompanied in some cases by extortion, threats and violence.

Government Mandated Interest Rate Caps Put Credit Out of Reach for Millions of Households

A recent 2026 Federal Reserve Bank of New York research found that state interest-rate caps caused loan balances to decline substantially among the riskiest borrowers. Those borrowers carried less debt, but researchers found **no corresponding improvement in their delinquency rates**. The findings indicate that caps primarily rationed credit rather than converting higher-cost loans into lower-cost loans for the same consumers. [Federal Reserve Bank of New York](#)

Federal Reserve research also recognizes that higher-risk loans carry higher expected losses. When lenders cannot price for that risk, they may decide the loan cannot be offered sustainably. [Federal Reserve Board](#)

Interest Rate Caps Cases:

Oregon: After Oregon imposed a restrictive rate cap, payday borrowing declined, but former borrowers shifted partly to bank overdrafts and late bill payments. The study also found evidence of deterioration in borrowers' overall financial condition. [Oregon rate-cap study](#)

Georgia: A Federal Reserve Bank of New York study found that after Georgia prohibited payday lending, households bounced more checks, filed more Chapter 7 bankruptcies and submitted more complaints about lenders and debt collectors. North Carolina's results were largely unchanged, demonstrating that effects are not identical everywhere. [Federal Reserve Bank of New York study](#)

Illinois Case Study Downloadable One Pager <https://canva.link/wsw1wai29mn9sr>

If Short-Term Credit Is Restricted or Eliminated, Where Will Texans Turn?

Before policymakers eliminate a regulated financial option, they must answer a basic question: Where will families turn instead?

A workable substitute must do all of the following:

- Provide money immediately.
- Serve consumers with poor or limited credit.
- Offer relatively small amounts.
- Cover unrestricted needs such as rent, utilities or repairs.
- Operate at sufficient scale.
- Generate enough revenue to cover underwriting, servicing, defaults and compliance.

Few alternatives satisfy all six conditions. Earned-wage access, for example, can help an employed person who has already earned sufficient wages, but it cannot necessarily provide \$800 for an emergency at the beginning of a pay period. Buy Now Pay Later can finance a qualifying purchase but cannot usually pay the electric bill. A bank loan may cost less but be unavailable to the consumer who needs it.

Even credit-union Payday Alternative Loans are not purely free-market replacements: they operate within a special federal regulatory framework, require credit-union access and are

limited in amount and terms. Current federal rules permit qualifying PALs to carry rates of up to 28%. [NCUA guidance](#)

Alternatives Should Compete With Credit, Not Eliminate It

The market should be encouraged to develop more affordable choices—not prevented from serving consumers whose needs are difficult or expensive to meet. Bank loans, fintech products, employer advances and earned-wage access can provide valuable alternatives, but none currently serves every consumer or every emergency. Eliminating one form of regulated credit before viable replacements exist does not create a better option; it can leave families with no workable option at all.

Resources

Downloadable One Pagers/Fact Sheets Page

Press

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Take Action

CTA